Business Ethics

Exam code: 9BS0

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Understanding business ethics

- Ethics relates to the **rights or wrongs** of making a strategic decision that are **beyond legal requirements** and in accordance with a business's **corporate responsibility principles**
- Some ethical businesses adopt an **ethical code of practice**, which informs decision-making and may set out how they:
  - Behave responsibly with regard to the **environment** (e.g. using recycled materials in packaging)
  - Avoid negative impacts on **animals** (e.g. animal testing)
  - Adopt **fair working practices** (e.g. paying a real living wage)
  - Implement robust and **equitable supply chains** (e.g. using sustainably sourced raw materials in production)
  - Take steps to **eliminate corruption** (e.g. ensuring appropriate tax is paid in the countries in which the business operates)
  - **Avoid controversial products** or take steps to minimise their impact or access to them (e.g. having strict verification procedures in place prior to cosmetic surgery procedures being carried out)
  - **Cease trading** with questionable suppliers or customers (e.g. cancelling a supply contract with a supplier that uses child labour)

Trade-offs between profit and ethics

- Businesses will **embed their ethical code of practice** into every aspect of their operations, and ethical priorities will feature heavily in:
  - **Recruitment** documentation and HR procedures
  - Induction and **training** programmes
  - **Performance** management cycles and **rewards** systems
  - Promotional literature and other **communications**

An extract from Intel's ethical code of conduct

(Source: Intel)

- Businesses that choose to adopt ethical principles usually attract long-term **loyalty from employees and customers** and may find that their approach provides a useful **competitive advantage**
- Taking an ethical approach costs more and **may reduce the overall level of profits** if the business is not able to raise its prices to compensate

Ethics in pay and rewards

- Salaries, wages and other forms of financial reward (e.g. performance-related bonuses) play an important role in:
  - **Rewarding** and **motivating** existing staff
  - **Attracting** new employees
  - Maximising **productivity** levels

Current ethical concerns with regard to pay

The "gender pay gap"	Minimum wages	Executive bonuses
• In the UK, the gender pay gap stands at around **10%**, which means, on average, women earn 10% less than men per hour, despite the 50-year-old Equal Pay legislation	• Many businesses pay workers the legally required minimum wage • To supplement their earnings, many low-paid workers are entitled to **benefits** such as tax credits, which are a significant cost to the economy: ○ In 2015, more than £1bn in	• In 2022, the pay of the CEOs of FTSE 100 companies jumped by an average of **25%**, largely as a result of record bonus payments • At the same time, many businesses

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taken steps to successfully eliminate the gender pay gap, though **easyJet** and fashion retailer **Phase Eight** have gender pay gaps of more than 50%	the four largest UK supermarket chains, leading to accusations that the government subsidises the profits of big businesses	**increases for employees** to help them cope with increasing levels of inflation

Help me understand

Ethics and corporate social responsibility

- Corporate social responsibility (CSR) involves **conducting business activity in an ethical way** and **balancing the interests of shareholders with those of the wider community**

Examples of socially responsible activities

Socially responsible activity	Example
Sustainable sourcing of raw materials and components	• High street retailer **H&M** has a goal of using only recycled or sustainably sourced materials by 2030 • It also publishes a **list of the majority of their suppliers'** information, which is updated regularly, allowing stakeholders to verify and hold the company responsible for their suppliers' conduct
Responsible marketing	• **Marks & Spencer** ensures that it never actively directs any marketing communications to **children** under the age of 12 and does not directly advertise any **products high in fat, sugar or salt** to children under the age of eighteen
Protecting the environment	• Café chain **Prêt à Manger** offers discounts to customers who bring their own coffee cups, reducing the number of single-use plastic containers it dispenses

	checking competitor prices regularly to ensure that the price its customers pay is the lowest available in the local area at that time

- It is now common practice for large companies to publish annual **corporate responsibility reports**
  - These provide an audit of the steps being taken to meet their commitments to a range of stakeholders, alongside annual financial reports
- **Extra costs** are involved in operating in a socially responsible way, and these costs are likely to be passed on to consumers

The benefits of CSR

- It can **enhance** the business image and reputation
- It is attractive to many **stakeholders**
- It can be very profitable, as it **adds value** for many stakeholders
- Its implementation may improve employee motivation and productivity
- It can help **recruit strong candidates** for jobs advertised
- It may help to solve social problems, e.g. resource depletion

Examiner Tips and Tricks

When assessing the value of an ethical approach to CSR, make sure you include an assessment of the disadvantages as well:

- **It increases business costs**, as making the right decision is usually considered above less expensive yet questionable options
- Ethical businesses face high levels of **media scrutiny** and are likely to receive **particularly damaging criticism if they fall short**
- As much as leaders express a commitment to "doing the right thing", their **ethical principles are very likely to be watered down** or dismissed in favour of **making as much profit** as possible

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